Witness Statement of Priya Nandakumar

Witness Statement | Document ID: **CLM-WIT-001**

Date:	28 November 2025 (exchanged in accordance with Procedural Order No. 1)
Witness:	Priya Nandakumar, Group Chief Financial Officer, Meridian Chemical Holdings Ltd
On behalf of:	Claimant

IN THE MATTER OF AN ARBITRATION UNDER THE LCIA RULES

LCIA Reference No. 235841

BETWEEN:
MERIDIAN CHEMICAL HOLDINGS LTD *(Claimant)*

and
(1) JULIAN ASHWORTH-HALE (2) ROSALIND ASHWORTH-HALE *(Respondents)*

WITNESS STATEMENT OF PRIYA NANDAKUMAR

I, Priya Nandakumar, of Meridian Chemical Holdings Ltd, 14 Copthall Avenue, London EC2R 7BP, WILL SAY as follows:

1. I am the Group Chief Financial Officer of Meridian Chemical Holdings Ltd ("Meridian" or "the Buyer"), a position I have held since 2019. I make this statement in support of Meridian's case in this arbitration. Save where I indicate otherwise, the facts in this statement are within my own knowledge and are true. Where I refer to matters outside my own knowledge, I identify the source of my information and believe them to be true.

2. I was closely involved in Meridian's acquisition of Hale Specialty Distribution Ltd ("the Target") from the Respondents, which completed on 2 May 2024, including oversight of the due diligence process alongside Elliott Vance, Meridian's M&A; Director.

3. **Discovery of the Northbridge non-renewal.** I first became aware that Northbridge Coatings Ltd would not be renewing its supply contract with the Target in early July 2024, when the Target's own Head of Sales, Marcus Oduya, mentioned it to our integration team in the course of a routine account review. I was surprised, as this had not been disclosed to us before Completion, and I asked our IT integration provider to search the Target's mailboxes for any earlier reference to Northbridge. That search surfaced the email chain now exhibited as CLM-EMAIL-001 and CLM-EMAIL-002, which I first saw in the week commencing 15 July 2024.

4. Northbridge was, on any view, one of the Target's most significant customers, accounting for approximately 22% of its revenue in the financial year ended 31 March 2023. Had we known before Completion that Northbridge had given notice of non-renewal, this would have had a material effect on our valuation of the Target and, in all likelihood, on the price we were prepared to pay.

5. **The 25 April 2024 call.** I am aware that Elliott Vance spoke to Julian Ashworth-Hale by telephone on 25 April 2024 as part of the routine pre-completion contact between the deal teams. I did not participate in that call myself. I have discussed it with Elliott on a number of occasions since this dispute arose. His clear recollection, consistent with his contemporaneous email to me of 26 April 2024 (CLM-EMAIL-003), is that Julian mentioned customer renewals in general terms as part of an unremarkable update on the sales pipeline, and that nothing was said which conveyed that a Material Customer Contract representing over a fifth of the Target's revenue had already given written notice that it would not renew. I do not accept the suggestion made in Mr Ashworth-Hale's witness statement that Northbridge was specifically identified as a risk on that call.

6. **The Earn-Out calculation.** I am responsible for the preparation of the Target's management accounts following Completion, including for the purposes of calculating Actual EBITDA for the Earn-Out

Period under Clause 6.4 of the SPA. Following Completion, the Target became a wholly-owned subsidiary within the Meridian group and, consistent with our treatment of every other portfolio company we have acquired, we allocated a share of group central overheads (finance, IT, compliance and group management functions) to the Target, in accordance with our standard group cost-allocation policy. This allocation, totalling approximately £540,000 over the Earn-Out Period, reflects the genuine cost to the group of providing those functions to the Target; it is not a change to the Target's own historic accounting policies within the meaning of Clause 6.4(b), which I understand to concern matters such as revenue recognition, stock valuation and depreciation policy, not group overhead recharges that did not arise, because the Target was not part of a group, before Completion.

7. On our calculation, Actual EBITDA for the Earn-Out Period is approximately £2,180,000, which is below the 80% threshold in Clause 6.4(a)(ii), such that no Earn-Out Payment is due. I understand that Meridian's expert, Mr Fenwick-Symes, addresses this calculation in more detail in his report.

8. I confirm that the contents of this statement are true to the best of my knowledge and belief.

Statement of Truth: I believe that the facts stated in this witness statement are true.

Signed: *P. Nandakumar* Dated: 28 November 2025